

[Home](#) > [My Courses](#) > [Financial Markets](#) > [M3: Correlation](#) > FM Practice Quiz M3

FM Practice Quiz M3

Question 1

If a portfolio consists of two assets with standard deviations of 3% and 8% respectively and a correlation of 1 what is the portfolio standard deviation for equal weights?

- ☐ 2.50%
- ☐ 4.27%
- ☐ 5.50%
- ☐ 3.50%



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QUESTIONS

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X	X	X	X
X	X	X	X
X	X	X	X
X	X	X	X

Question 2

If an investor bought 100 shares of Meta at \$320 before the drop and sold after the 26% decline what would be their total loss?

- ☐ \$8,320
- ☐ \$9,360

☐ \$7,800☐ \$6,240

Question 3

What is the primary challenge in calculating returns for illiquid assets in a portfolio?

☐ They cannot be included in diversified portfolios☐ They have higher transaction costs☐ Obtaining reliable and frequent price data☐ They are more volatile than liquid assets

Question 4

What is the primary benefit of asset allocation ETFs?

- ☐ Extra level of diversification with professional management
- ☐ Lower management fees
- ☐ Higher returns guaranteed
- ☐ Extra level of diversification

Question 5

In finance what is meant by a "perfect hedge"?

- ☐ A portfolio with maximum returns
- ☐ A portfolio with 0 standard deviation
- ☐ A portfolio with equal weights of all assets
- ☐ A correlation of -1 between two securities

Question 6

What is the main difference between

passively managed
and actively
managed ETFs?

- ☐ Passively managed ETFs are only available to institutional investors
- ☐ Actively managed ETFs are always more profitable than passively managed ETFs
- ☐ Passively managed ETFs seek to track an index, while actively managed ETFs aim to outperform a benchmark
- ☐ Passively managed ETFs have higher fees than actively managed ETFs

Question 7

Calculate the expected return of a portfolio with 60% in Stock A (return 5%) and 40% in

Stock B (return 11%).

- ☐ 7.40%
- ☐ 8.00%
- ☐ 9.60%
- ☐ 6.40%

Question 8

If an ETF's NAV is \$50 and it has 1 million shares outstanding, what are its total assets if liabilities are \$2 million?

- ☐ \$48 million
- ☐ \$52 million
- ☐ \$50 million
- ☐ \$54 million

Question 9

Which of the following is NOT a property of portfolio return?

- ☐ It is a linear combination of individual asset returns

- ☐ It is always less volatile than the most volatile asset
- ☐ It can exceed individual asset returns with leverage
- ☐ It is always between the returns of the individual assets (for long-only portfolios)

Question 10

Which of the following is true about asset allocation ETFs?

- ☐ They invest in different asset classes
- ☐ They have no management fees
- ☐ They only invest in equities
- ☐ They are always managed by BlackRock

Question 11

What is the main limitation of using correlation coefficients with sample data rather than population data?

- ☐ They cannot be calculated for samples
- ☐ They become random variables requiring statistical tests for significance
- ☐ They can only be used with large samples
- ☐ They always underestimate the true correlation

Question 12

What is the primary difference between sector selection and stock selection in ETF investing?

- ☐ Sector selection focuses on macro-economic factors, while stock selection involves company-specific analysis
- ☐ Stock selection is less risky than sector selection
- ☐ Sector selection is always more profitable than stock selection
- ☐ Sector selection only applies to international markets

Question 13

What is the key factor in determining a portfolio's volatility?

- ☐ Number of stock shares outstanding

- ☐ Correlation between assets
- ☐ Individual stock prices
- ☐ Expected returns

Question 14

What is the implication of increased correlations during high volatility periods for portfolio diversification?

- ☐ Diversification becomes irrelevant
- ☐ Diversification benefits increase
- ☐ Diversification benefits decrease
- ☐ Diversification benefits remain constant

Question 15

What is the primary goal of diversification in investing?

- ☐ To concentrate capital in a limited number of investments
- ☐ To manage risk
- ☐ To achieve perfect correlation between assets
- ☐ To maximize portfolio returns

Question 16

How might the increasing popularity of ETFs affect individual stock prices?

- ☐ It has no effect on individual stock prices

- ☐ It always decreases the volatility of individual stocks
- ☐ It can increase demand for stocks included in popular indices, potentially inflating their prices
- ☐ It only affects small-cap stocks

Question 17

How does the use of leverage in a portfolio typically affect its risk-return profile?

- ☐ It has no effect on the risk-return profile
- ☐ It amplifies both potential returns and risks
- ☐ It increases return but decreases risk

- ☐ It always decreases both risk and return

Question 18

If a bond's yield rises from 2% to 3% what typically happens to its price?

- ☐ The price decreases
- ☐ The price becomes zero
- ☐ The price increases
- ☐ The price remains unchanged

Question 19

What does a correlation of 0 between two securities indicate?

- ☐ The securities always move in opposite directions

- ☐ The movement of one security provides no information about the other
- ☐ The securities have identical returns
- ☐ The securities always move in the same direction

Question 20

What is the primary benefit of ETFs in terms of market exposure?

- ☐ Guaranteed high returns
- ☐ Ability to predict market trends
- ☐ Access to broad market diversification
- ☐ Elimination of all investment risk

SUBMIT

